

Oracle Corporation (ORCL.US)

Technology · Software - Infrastructure
Large Cap (>\$200B) · Report Date: June 22, 2026
Latest financials: Q2 FY2025 · Model data as of 2026-06-22

OVERWEIGHT

Blended Target: \$186.69

DCF + Comps + Analyst (see cross-check table)

Implied upside: +6.6%

Price (Jun): \$175.07

INVESTMENT HIGHLIGHTS

- **OVERWEIGHT** — blended target \$186.69 (+6.6% vs \$175.07); multi-method valuation after outlier checks.
- Strong revenue growth; high operating margins; elevated leverage; strong roe
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps and analyst consensus where shown.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Oracle Corporation (ORCL) — Technology. Oracle Corporation offers products and services that address enterprise information technology environments worldwide. Its Oracle cloud software as a... **OVERWEIGHT** rating; blended target \$186.69. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$503.51B	Shares Out.	2876.0M
52-Week Range	\$134.57 – \$345.72	P/E (TTM)	30.1x
P/B	15.0x	Beta	1.66
Avg Volume	26.51M	Analyst Rec.	Buy
Revenue (TTM)	\$67.36B	Rev Growth	+20.6%
Op. Margin	36.3%	FCF (TTM)	\$-394.00M



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	52,961	57,399	69,223	79,724	88,788
Revenue Growth (%)	N/A	8.4%	20.6%	15.2%	11.4%
Net Income (\$M)	10,467	12,443	15,006	17,283	19,248
Net Income Growth (%)	N/A	18.9%	20.6%	15.2%	11.4%
Gross Margin (%)	71.4%	70.5%	65.8%	65.8%	65.8%
Net Margin (%)	19.8%	21.7%	21.7%	21.7%	21.7%
ROE (%)	120.3%	60.8%	73.4%	76.7%	81.3%
EPS (\$)	3.64	4.33	5.22	6.01	6.69
Book Value / Share (\$)	3.03	7.11	7.11	7.84	8.23
P/E (x)	48.10	40.47	33.55	29.13	26.16
P/B (x)	57.85	24.62	24.62	22.33	21.27
Dividend Yield (%)	1.1%	1.1%	1.1%	1.1%	1.1%

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VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$71.64	-59.1%	0% (excluded)	Diverges below other methods (38% of median)
Comps — P/E (peer median)	\$128.54	-26.6%	—	Peer median P/E 22.1x
Comps — EV/EBITDA (peer median)	\$103.98	-40.6%	—	Peer median 16.4x
Comps — P/S (peer median)	\$120.74	-31.0%	—	Peer median P/S 5.2x
Comps — Blended (avg. of available multiples)	\$120.74	-31.0%	0% (excluded)	Diverges below other methods (48% of median)
Analyst consensus (Yahoo Finance)	\$252.64	+44.3%	0% (excluded)	Consensus with Comps (excluded low DCF not used in blend)
Blended target (weighted)	\$186.69	+6.6%	100%	Median / single method
Audit (≥30% vs price)	—	—	—	Methods diverge >30%: target anchored to Comps/Analyst consensus

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	13.10%
Terminal g	4.00%
FCFE growth	10.00%
Base FCFE	\$13.32B
PV explicit (5Y)	\$65.20B
PV terminal	\$140.82B
Equity value (adj.)	\$206.03B
Implied price	\$71.64
vs. current	-59.1%

INDUSTRY ANALYSIS

1. Industry Overview

Oracle Corporation offers products and services that address enterprise information technology environments worldwide. Its Oracle cloud software as a service offering include various cloud software applications, including Oracle Fusion cloud enterprise resource planning ERP, Oracle Fusion cloud enterprise performance management EPM, Oracle Fusion cloud supply chain and manufacturing management...

2. Key Trends

- Strong top-line growth (20.6% YoY)
- High operating leverage (36.3% margin)
- Above-market volatility (β=1.66)
- Sector: Technology | Industry: Software - Infrastructure

3. Risk Factors

- Elevated leverage (D/E: 363%)
- High market sensitivity in downturns

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
MSFT	Microsoft Corporation	\$2.73T	21.9x	15.0x	39.3%	+18.3%
CRM	Salesforce, Inc.	\$122.95B	17.4x	11.9x	18.7%	+13.3%
NOW	ServiceNow, Inc.	\$95.92B	55.4x	32.3x	12.6%	+22.1%
IBM	International Business	\$237.06B	22.3x	17.8x	15.6%	+9.5%
ORCL*	Oracle Corporation	\$503.51B	30.1x	19.8x	25.4%	+20.6%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Strong revenue growth; high operating margins; elevated leverage; strong roe. Source: Yahoo Finance. Not investment advice.